Rotation, Reversed

Chips found a bid and last week's AI-spending doubt met a rebuttal as two operators signed billions in new compute leases — Growth Portfolio +0.90%. But renewed Iran headlines capped the tape: the S&P eased −0.17% and the Dividend Strategy slipped −0.62%.

THE SESSION

The week's central worry — that the AI build-out was beginning to cool — met a direct rebuttal on Monday, and the portfolio's growth sleeve answered. After a Friday that carried the semiconductor complex into a bear market on doubts about the durability of AI capital spending, two data-center operators put billions of dollars of fresh demand on the board, chips found a bid, and the money that had rotated into energy and defensives late last week began to rotate back. The Growth Portfolio closed +0.90%, comfortably ahead of IUSG at +0.19%. The catch was at the index level: renewed Iran headlines pulled a firmly green tape back to a fractional loss, leaving the S&P 500 −0.17% and the Nasdaq essentially flat.

The rebuttal was concrete rather than rhetorical. Hut 8 (+10.37%) signed a $9.8 billion, fifteen-year lease for the second phase of its Beacon Point campus in Texas, fully committing the site's gigawatt of power to AI computing built to Nvidia's data-center design; peer operator IREN announced billions more in new multiyear cloud contracts. For a market that spent last week questioning whether hyperscale spending would hold, two long-dated, investment-grade commitments were the most direct answer available — and the miner-to-infrastructure cohort we own through Hut 8 and Marathon (+9.17%) led the market. The signal carried into the chips themselves: Marvell (+3.32%), Credo (+4.63%), AMD (+1.58%) and Taiwan Semiconductor (+0.99%) all recovered, and the digital-asset ETFs firmed with bitcoin holding near $65,000 (ETHA +3.02%, IBIT +1.49%).

The other half of the tape belonged to the geopolitical file the morning had flagged. Brent pushed back above $90 overnight — its highest in more than a month — after confirmation of a third U.S. service-member death and a fresh Houthi declaration of a naval embargo on Saudi shipping, before easing to settle near $89 as Iran signaled openness to talks. Chevron (+1.24%) held the energy bid, but the crude impulse and firmer yields weighed on the rate-sensitive and industrial names that anchor the value book: Toll Brothers (−2.53%), Steel Dynamics (−2.13%, reporting after tonight's close), Genuine Parts (−1.94%) and Caterpillar (−1.82%) all gave back ground. The Dividend Strategy closed −0.62%, a shade behind a resilient DVY (−0.61%) and SPY (−0.15%) on the day — the mirror image of Friday, when the same defensive book did the cushioning. The Fed's pre-meeting communications blackout began today ahead of the July 28–29 decision, leaving incoming data and the Iran cadence to set the tone into next week.

FCI Tactical: A portfolio built on two engines is supposed to look like this. Last Friday the value book absorbed a chip-led decline; today the growth book answered a chip-led doubt. Owning durable cash flows alongside secular growth means one sleeve tends to be working while the other rests, and a rotation that reverses inside of a single trading week is noise around businesses that keep signing contracts and compounding. We own the enterprises, not the week's tape. The tactical framework operates at the index level, and the S&P remains well above the −20% first-tranche trigger.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

HUT +10.37% GROWTH PORTFOLIO

Hut 8 signed a $9.8 billion, fifteen-year lease for the second phase of its Beacon Point AI data-center campus in Texas, fully contracting the site's gigawatt of power and directly rebutting the week's worry that AI-infrastructure demand was slowing.

MARA +9.17% GROWTH PORTFOLIO

Marathon rallied with the miner-to-AI-infrastructure cohort as Hut 8's lease and IREN's new compute contracts eased concerns that data-center demand had begun to cool.

CRDO +4.63% GROWTH PORTFOLIO

Credo led the AI-connectivity names higher as the semiconductor complex found a bid, a day after the group slipped into bear-market territory.

MRVL +3.32% GROWTH PORTFOLIO

Marvell recovered with the merchant-silicon group as the day's data-center commitments countered last week's capital-spending doubts.

ETHA +3.02% DIGITAL ASSET ETF

The ether ETF advanced as digital assets firmed alongside the compute-infrastructure bid, with bitcoin holding near $65,000.

CVX +1.24% GROWTH PORTFOLIO

Chevron held the energy bid as Brent pushed above $90 intraday on a third U.S. casualty and a Houthi embargo declaration on Saudi shipping, before crude eased on Iran negotiation signals.

ABT **+0.97%** DIVIDEND STRATEGY

Abbott extended its post-earnings strength as healthcare stayed the market's preferred defensive.

DECLINERS

TOL **–2.53%** GROWTH PORTFOLIO

Toll Brothers slipped as rate-sensitive homebuilders came under pressure, with Treasury yields supported by the oil-driven inflation impulse.

STLD **–2.13%** DIVIDEND STRATEGY

Steel Dynamics eased ahead of tonight's post-close Q2 print; its $3.51–$3.55 guidance sits below Street hopes even as the order backlog runs roughly 40% above a year ago.

LRCX **–2.09%** DIVIDEND STRATEGY

Lam Research lagged the rebound as semiconductor-equipment names trailed the merchant-silicon and AI-infrastructure leaders.

GPC **–1.94%** DIVIDEND STRATEGY

Genuine Parts fell with auto-parts and industrial-distribution names as cyclical value rotated out of the defensive book.

CNX **–1.86%** GROWTH PORTFOLIO

CNX Resources slipped as natural gas lagged a crude-focused energy bid.

CAT **–1.82%** DIVIDEND STRATEGY

Caterpillar led Dow decliners as heavy-machinery and industrial cyclicals gave back recent gains.

SOFI **–1.56%** GROWTH PORTFOLIO

SoFi eased in a session where the high-beta bid concentrated in AI-infrastructure and crypto-miner names rather than broader fintech.

HOLDINGS NEWS

Hut 8 (HUT) — $9.8 billion Beacon Point lease. Hut 8 signed a fifteen-year lease for the second phase of its Beacon Point AI data-center campus in Nueces County, Texas, with the same investment-grade tenant that took phase one. The deal adds roughly 350 megawatts of computing capacity built to Nvidia's data-center design and brings the campus's full gigawatt under contract, lifting the site's base contract value to a reported $19.6 billion over the initial term. The announcement lifted the broader compute cohort, including our Marathon position.

Steel Dynamics (STLD) — Q2 results after tonight's close. Steel Dynamics reports second-quarter earnings post-market today, with a company guide of $3.51 to $3.55 per share against a prior-year $2.01 and a first-quarter $2.78. Management has pointed to an order backlog roughly 40% higher than a year ago and $170 million of stock repurchased in the quarter; the conference call follows Tuesday morning.

Lockheed Martin (LMT) — hypersonic program timeline. Coverage this week flagged production and schedule pressure on a major Lockheed hypersonic-missile program. Shares held modestly higher (+0.15%) with the defense group as the Iran escalation kept a bid under the sector.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✗ TRAIL

–0.62%

vs. DVY –0.61% | SPY –0.15%

GROWTH PORTFOLIO ✓ BEAT

+0.90%

vs. IUSG +0.19%

YEAR-TO-DATE

Dividend +16.50% vs DVY +15.74% / SPY +9.41%
Growth +14.05% vs IUSG +9.87%